

About the Annual Survey of Local Government Finances

Program name

Annual Survey of Local Government Finances

Purpose

This program is the only known comprehensive source of state and local government finance data collected on a nationwide scale using uniform definitions, concepts, and procedures. This survey obtains data on revenues, expenditures, and debt of counties, cities, township governments, special districts, and dependent agencies when information is not available elsewhere.

Legal Authority and Confidentiality

Title 13, United States Code, Sections 161 and 182, authorizes the Census Bureau to conduct this collection and to request your voluntary assistance. These data are subject to provisions of Title 13, United States Code, Section 9(b) exempting data that are customarily provided in public records from rules of confidentiality.

Primary Customers and Users

Results of this survey are widely used by the United States Congress, federal agencies like the Bureau of Economic Analysis (BEA) and Federal Reserve Board, state governments, other local governments, educational and research organizations, and the public. Major uses of local government finance data include:

- Development of the government component of the gross domestic product estimates
- Development of the national income accounts
- Development of personal income figures for state and county areas
- Development of the flow of fund accounts
- Allocation of certain federal grant funds
- Legislative research
- Comparative studies of state and local government finances
- Public and fiscal policy analysis/research

Products

- **Key statistics produced**

All data, summary tables, and files are released on the Internet on an annual basis beginning with the 1993 annual data series. The key statistics produced for the Survey of Local Government Finances are tables for local government finances both for the United States as a whole and for each state including the District of Columbia. During the Census of Governments, we also produce estimates by type of government. Government types include Counties, Cities, Townships, Special Districts, and School Districts.

- **Frequency of data products**

Local government finance statistics are produced on an annual basis. Currently, this survey publishes data approximately 20 months after survey data collection is started.

- **Geographic detail**

Annual Survey of Local Government Finance statistics are collected from a sample of government agencies within each of the 50 states, and the District of Columbia.

- **Publication level of detail**

Annual Survey of Local Government Finance statistics are published at the national total level as well as by state total. First Look releases of the Annual Survey of Local Government Finances are published at the national total level only.

- **Data dissemination**

Currently, this survey publishes data about 20 months after survey data is collected. There is approximately two years between the reference period and data release. Revisions to published data occur annually for the next two years with five years of data being revised during each Census of Governments (years ending in “2” and “7”).

Release and Revision Schedule

- 2025 Annual Survey of Local Government Finances – First Look Release – Spring 2027.
- 2025 Annual Survey of Local Government Finances – Initial Full Release – Summer 2027.
- 2024 Annual Survey of Local Government Finances – First Look Release – April 16, 2026.
- 2024 Annual Survey of Local Government Finances – Initial Full Release – Summer 2026.
- 2023 Annual Survey of Local Government Finances – Revised Release – Summer 2026.

- 2022 Census of Governments Survey of Local Government Finances – Revised Release – Summer 2026.

In the event of an unplanned data revision, revised statistics may be made available under “*Updates*” or under “*Latest Data*.” Internal Census Bureau policies are followed for notifying sponsors and primary stakeholders.

Contact Us

You may contact us by phone at 1-800-832-2839 Monday through Friday, 8:00 a.m. to 5:00 p.m. Eastern Time or email us at ewd.local.finance@census.gov.

Methodology

Survey Design

Target population:

The target population consists of all 50 state governments, the District of Columbia, and all active local governmental units (counties, cities, townships, special districts, and school districts). There were over 90,000 such units in the current survey year. In years ending in ‘2’ and ‘7’ the entire universe is canvassed. In intervening years, a sample of the target population is surveyed. Additional details on sampling are available in the survey methodology descriptions for those years.

Sampling frame:

The sampling frame for the 2024 Annual Survey of Local Government Finances was compiled from the Governments Master Address File (GMAF) which is continuously updated to identify newly incorporated governmental units (“births”) and units determined to be disincorporated (“deaths”) or inactive. All types of governments were included in the sampling frame. In addition to government unit IDs, the frame includes variables such as total revenue, total expenditures, and long-term debt as of the 2022 Census of Governments (CoG) that were used to compute a measure of size for sampling purposes (see “Sample Design” below).

Sampling unit:

The basic sampling unit is the governmental unit, defined as an organized entity which in addition to having governmental character, has sufficient discretion in the management of its own affairs to distinguish it as separate from the administrative structure of any other governmental unit.

Sample design:

The Annual Survey of Local Government Finances (ALFIN) sample is selected during a sample redesign process approximately two years after a CoG using a sampling frame that combines the GMAF at the time of sampling with CoG variables. The selected sample is then updated annually using an updated frame to add births and remove deaths and inactive units.

The 2024 sample was designed to produce estimates of total expenditures, total revenues, and long-term debts with an expected coefficient of variation (CV) of 3.00% or less for all states and at all published levels of aggregation and estimates of sales and property tax with a CV of 5.00% or less for all states at the state and local government combined level of aggregation. The sample included all independent schools since their data were obtained from other education surveys. All state governments were included in the sample as well. Non-school local units were first stratified by state and government types. These units were then further stratified by size using the equal aggregate method (Mahalanobis, 1952), and a simple random sample without replacement was drawn within each stratum.

The universe was first stratified by state and government type; for these purposes, cities and townships (i.e., all sub-county general purpose local governments) were considered a single government type. All units meeting the following criteria were assigned to initial certainty strata:

- All county governments with a 2022 population of 500,000 or more
- All cities and townships with a 2022 population of 200,000 or more
- All local government units in Hawaii and the District of Columbia
- Any other units deemed large or influential by subject matter experts

The remaining units – i.e., non-certainty units – were next assigned a Measure of Size (MoS) based on the maximum of total expenditures and a ratio-adjusted second variable depending on the unit's sampling type:

- Counties: total taxes
- Cities and towns: total revenue
- Special districts: long-term debt

Even after the removal of initial certainty units, an appreciable number of non-certainty units remain with a MoS that is so large that under a probability proportional to size sampling plan their probability of selection would be greater than 1. These units are identified via an iterative process and are assigned to second certainty strata. All remaining units that were not assigned to initial certainty or second certainty strata were then further stratified into between 1 and 7 size-based strata, and a simple random sample without replacement was drawn within each final stratum.

The design weight for each non-certainty unit in the sample is the inverse of that unit's probability of being selected into the sample. For example, for units that were included in the sample with a probability of 0.02, the weight is $(1/0.02) = 50.00$. All initial certainty and second certainty units were selected with probability of 1 and assigned design weight of 1.00. All 50 state governments, the District of Columbia, and independent school districts were also designated as certainty units with a weight of 1.00.

Birth units that were discovered in the period between the completion of the 2022 CoG processing cycle and creation of the 2024 sampling frame were sampled in a separate process from the initial 2024 sample design. All 2024 sample birth units were selected as certainties and assigned sampling weight of 1.00 because the number of newly incorporated governments was sufficiently small.

After accounting for births, the final 2024 sample contained 11,443 non-school local government units allocated across 892 strata, of which 15.32% were counties, 35.38% were cities, 6.98% were townships, and 42.31% were special districts.

In addition to the sample of local governmental units, ALFIN makes use of data from three additional Census Bureau sources. Data regarding some government financial activities associated with public pension systems are obtained via the Annual Survey of Public Pensions; for more details on this survey see <https://www.census.gov/programs-surveys/aspp.html>. Financial data from independent school districts are obtained via the Annual Survey of School System Finances for which details can be found at <https://www.census.gov/programs-surveys/school-finances.html>. Payroll data for local civilian government employees are obtained via the Annual Survey of Public Employment and Payroll; for more details on this survey see <https://www.census.gov/programs-surveys/apes.html>.

Frequency of sample redesign:

The sample is retained for 5 years. The current sample was drawn in 2024 and the next sample will be drawn in 2029 based on the results of the 2027 Census of Governments.

Sample maintenance:

The 2024 sample will be updated annually from 2025 to 2028 as follows:

- All city and township births are included with certainty.
- Special district governments birth units that meet initial certainty criteria are also included with certainty. Remaining special district governments birth units are stratified by state and sampled.
- Deaths and inactive units are removed from the sample and sample weights of remaining sample units are either adjusted to account for the change in sample size, or new units are selected from the frame in order to keep sample sizes constant.

Data Collection**Data items requested and reference period covered:**

This survey collects data on revenues, expenditures, and debt, for U.S. governments. The 2024 Annual Survey of Local Government Finances questionnaire can be found [here](#).

A survey year includes each individual government's fiscal year that ended between July 1 of the previous year and June 30 of the survey year. Therefore, survey year 2024 covers individual government fiscal years that ended from July 1, 2023 through June 30, 2024.

Key data items:

All data items are key data items with the exception of exhibit codes.

Type of request:

The 2024 Annual Survey of Local Government Finances is a voluntary survey.

Frequency and mode of contact:

The following are important dates in the data collection process for fiscal year 2024:

November 2024 - Initial mail-out
November 2024 - Due Date Reminder mail-out
December 2024 - Due Date Reminder E-mail
December 2024 - Follow up mail-out #1
January 2025 - Follow up email #1
January 2025 - Follow up Robocalls
February 2025 - Follow up mail-out #2
March 2025 - Follow up E-mail #2
March 2025 - Telephone follow-up – Phase 1
April 2025 - Follow up mail-out #3
May 2025 - Follow up E-mail #3
June 2025 - Telephone follow-up – Phase 2
August 2025 - Closeout E-mail

Data collection unit:

The basic sampling unit is the governmental unit, defined as an organized entity which in addition to having governmental character, has sufficient discretion in the management of its own affairs to distinguish it as separate from the administrative structure of any other governmental unit. The 2024 sample contained 11,816 local government units – including local higher education school districts (IPEDS).

Special procedures:

27 states have central collection arrangements with the U.S. Census Bureau. These states get special mailings for all or specific types of government units within that state.

Compilation of Data**Editing:**

Editing is a process that tries to ensure the accuracy, completeness, and consistency of the survey data. Efforts are made at all phases of collection, processing, and tabulation to minimize reporting, keying, and processing errors.

Although some edits are built into the Internet data collection instrument and the data entry programs, the majority of the edits are performed post collection. Edits consist primarily of four types: (1) *consistency edits*, (2) *historical ratio edits* of the current year's reported value to the prior year's value, (3) *current year ratio edits*, and (4) *balance checks*.

The *consistency edits* check the logical relationships of data items reported on the form. For example, if interest on debt is reported, then there must be debt.

The *historical ratio edits* compare data for the current year to data for the prior year or prior census year. If data fall outside of acceptable tolerance levels, the item is flagged for further review. For example, the reported property tax for the current year may be compared against the property tax last year, if the reporting unit was in last year's sample. If it was not in last year's sample, the current year value is compared to the prior census year value.

The *current year ratio edits* compare one data item on the form against a different data item. If data fall outside of acceptable tolerance levels, the item is flagged for further review. For example, airport expenditure to airport revenue is a current year ratio.

Balance checks are checks of linear relationships that exist in the data. Debt flow is an example of a *balance check*. The ending debt must equal the beginning debt plus the debt issued minus the debt retired.

After all data are edited and imputed, they are aggregated. A macro-edit, or aggregate-level, review is conducted with current year state aggregates compared to prior year and prior census aggregates. Macro-level ratio edits and tolerance levels were developed using the current year data.

For the *ratio edits, consistency edits, balance checks, and macro edits*, the edit results are reviewed by analysts and adjusted as needed. When the analyst is unable to resolve or accept the edit failure, contact is made with the respondent to verify or correct the reported data. The results of the action are tracked with a data edit flag.

Nonresponse:

Nonresponse is defined as the inability to obtain requested data from an eligible survey unit. Two types of nonresponse are often distinguished. Unit nonresponse is the inability to obtain any of the substantive measurements about a unit. In most cases of unit nonresponse, the Census Bureau was unable to obtain any information from the survey unit after several attempts to elicit a response. Item nonresponse occurs either when a question is unanswered or unusable.

Nonresponse adjustment and imputation:

The 2024 Annual Survey of Local Government Finances used imputation, which is the procedure for determining a value for a specific data item where the response is missing or unusable, to provide estimates.

Other macro-level adjustments:

No other macro-level adjustments are used.

Tabulation unit:

The most detailed level of unit used for estimation is the type of local government (e.g., county, city, township, special district).

Estimation:

Estimates are released on data.census.gov. The released estimates are aggregates created by summing estimated item codes totals at both the state and national levels.

In Hawaii and the District of Columbia since all local government units were included as certainties, item code totals are produced via simple tabulation. In all other states the item code totals are estimated via a hybrid of two estimators: a unit level Empirical Best Linear Unbiased Prediction (EBLUP) or a Horvitz-Thompson (HT) estimator. Under EBLUP, a linear mixed model is fit on the sample via Restricted Maximum Likelihood (REML) which is then used to predict the sample year values of all out-of-sample units. State by item code totals are then calculated as the sums of observed sample values and out-of-sample unit level predictors. The HT estimator calculates cell totals using sample values and the design weights discussed in the “Sample Design” section above. Cells for revenue and expenditure item codes were assigned to an estimator based on the results of previous simulation research conducted by Census’ Economic Statistical Methods Division. Totals for all debts and assets and item codes associated with pension systems were estimated using the HT estimator. The aggregates were then produced as sums of the calculated item code totals published in the downloadable file.

Sampling Error:

The sampling error of an estimate based on a sample survey is the difference between the estimate and the result that would be obtained from a complete census conducted under the same survey conditions. This error occurs because characteristics differ among sampling units in the population and only a subset of the population is measured in a sample survey. The particular sample used in this survey is one of a large number of samples of the same size that could have been selected using the same sample design. Because each unit in the sampling frame had a known probability of being selected into the sample, it was possible to estimate the sampling variability of the survey estimates.

Common measures of the variability among these estimates are the sampling variance, the standard error, and the coefficient of variation (CV), which is also referred to as the relative standard error (RSE). The sampling variance is defined as the squared difference, averaged over all possible samples of the same size and design, between the estimator and its average value. The standard error is the square root of the sampling variance. The CV expresses the ratio of the standard error to the estimate. The sampling variance, standard error, and CV of an estimate can be estimated from the selected sample because the sample was selected using probability sampling. Note that measures of sampling variability, such as the standard error and CV, are estimated from the sample and are also subject to sampling variability. It is also important to note that the standard error only measure sampling variability. They do not measure any systematic biases in the estimates. The Census Bureau recommends that individuals using these estimates incorporate sampling error information into their analyses, as this could affect the conclusions drawn from the estimates.

Two methods are used to estimate standard errors for the 2024 Annual Survey of Local Government Finances. For totals estimated using a Horvitz-Thompson estimator, the Yates-Sen-Grundy variance estimator is used. For totals estimated using the EBLUP model, a parametric bootstrap is used. Each downloadable and viewable table contains a column that gives users the coefficients of variation (or relative standard error) that have been computed for these estimates. Note that since Hawaii and the District of Columbia were not subject to sampling all state level estimates in those two states will have standard errors and CVs equal to 0.

Nonsampling Error

Nonsampling error encompasses all factors other than sampling error that contribute to the total error associated with an estimate. This error may also be present in censuses and other non-survey programs. Nonsampling error arises from many sources: inability to obtain information on all units in the sample; response errors; differences in the interpretation of the questions; mismatches between sampling units and reporting units, requested data and data available or accessible in respondents' records, or with regard to reference periods; mistakes in coding or keying the data obtained; and other errors of collection, response, coverage, and processing.

Although every effort (as described in the Data Processing section) is made in all phases of collection, processing, and tabulation to minimize errors, the data are subject to non-sampling errors such as inability to obtain data for every variable from all units in the population of interest, inaccuracies in classification, response errors, misinterpretation of questions, mistakes in keying and coding, and coverage errors. Precise estimation of the magnitude of nonsampling errors would require special experiments or access to independent data and, consequently, the magnitudes are often unavailable.

The Census Bureau recommends that individuals using these estimates factor in this information when assessing their analyses of these data, as nonsampling error could affect the conclusions drawn from the estimates.

The Unit Response Rate (URR) is defined as the percentage of eligible sample that actually responded to the survey. In determining the unit response rate, a unit was defined as a respondent if it provided information on at least one variable or if an Annual Comprehensive Financial Report (ACFR) was available. All of the 50 state governments responded to the survey. 2024 Annual Survey of Local Government Finances URR and TQRR calculations exclude data from school districts collected by the Annual Survey of School Systems Finances (F-33). Consult the [F-33 methodological documentation](#) for more information.

The Total Quantity Response Rate (TQRR) was calculated for three key variables (expenditures, revenues, and debts) for each state and at the national level. This response rate is computed separately for each key variable by taking the weighted sum of the data provided by the respondents for the key variable and dividing this quantity by the weighted sum of the reported respondent data plus the weighted sum of imputed data for the key variable (see "Sample Design" for discussion of design weights); the result is multiplied by 100.

Some item codes in the 2024 Annual Survey of Local Government Finances can take both positive and negative values. However, TQRRs that are calculated using both positive and negative unit values do not carry their usual meaning. For such surveys one solution is to calculate separate TQRRs for positive and negative values. Since this survey does not include enough units that reported negative item code values to calculate TQRRs for negative valued items, TQRRs are calculated for positive item values only.

For the URR and TQRR values for the Annual Survey of Local Government Finances please see the response rate table [here](#) for the given year.

History of the Survey Program

Prior to 2013 expenditure and revenue item codes were estimated using a calibration method and all other item codes were estimated using an HT estimator. This was changed to the EBLUP model discussed in “Estimation” above based on research performed by the Economic Statistical Methods Division to improve estimator performance.